higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE

COST AND MANAGEMENT ACCOUNTING N6

22 NOVEMBER 2019

This marking guideline consists of 9 pages.

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QUESTION 1

1.1 1.1.1
- Purchases of material on credit for R20 000
- Cash purchase of material for R5 000 (2 × 2) (4)

1.1.2 Material issued to production worth R15 000 (2)

1.1.3 (25 000 – 15 000) = R10 000 (2)

1.1.4 Yes.✓ R20 000✓ (2)

1.2
1.2.1 R4 000,00
1.2.2 R5 000,00
1.2.3 R3 712,50
1.2.4 R4 125,00
1.2.5 R7 200,00
1.2.6 R8 100,00
1.2.7 R9 000,00
1.2.8 R9 000,00
1.2.9 R5 000,00
1.2.10 R5 000,00
(10 × 1) (10)

1.3 1.3.1 Material used = (Balance of material – Material issued – Material transferred – Material on hand)

Material = (75 000 – 25 000 – 10 500 – 3 500)
= R36 000✓✓✓✓ (4)

1.3.2 Certified work = Contract price + Extras

150 000 = 125 000 + Extras

Extras = 150 000 – 125 000

= R25 000 (extras)✓✓ (2)

1.3.3
- A contractor is the person or the party that is responsible for executing the contract. The contractor can also be called the seller.
- A contractee is the person or party for whom the contract is completed. He can also be called the buyer. (2 × 2) (4)

1.4 1.4.1 15 000 × 25 = R375 000 (2)

1.4.2 Total cost/Number of units = Cost per unit
450 000/15 000 = R30✓✓

Therefore: Selling price per unit = Cost per unit plus R20.00
Sp/u = R30 + R20
Sp = R50✓✓ (4)

1.4.3 Safety margin in units = Total units sold – Break-even quantity
= 15 000 – 12 000
= 3 000 units✓✓ (2)

1.4.4 The variable cost varies according to the number of units produced,✓ while the fixed cost remains constant, irrespective of the number produced.✓ (2)

1.5 1.5.1 Standard material to be used = 300 jars × 2 kg of peanuts

= 600 kg of peanuts✓✓ (2)

1.5.2 Standard quantity minus actual quantity
= 600 kg – 550 kg
= 50 kg less✓✓✓✓ (4)

1.5.3 Favourable variance (2)

1.5.4
- No wastage of material
- Good control over the use of material
- Material bought was of a better quality (Any 2 × 1) (2)

[50]

TOTAL SECTION A: 50

SECTION B

QUESTION 2

2.1 **GENERAL JOURNAL**

	DEBIT	CREDIT
2.1.1. Material control✓	✓78 000	
Bank/creditors control/purchases✓		✓78 000
Total materials purchased		
2.1.2 Production control✓	✓55 000	
Material control✓		✓55 000
Direct material issued to production		
2.1.3 Manufacturing overheads control✓	✓8 000	
Material control✓		✓8 000
Indirect material issued to production		

(12)

2.2 2.2.1

MATERIAL CONTROL ACCOUNT

Date	Details	Amount	Date	Details	Amount
1/10	Balance	50 000		Production	✓55 000
	Bank/ creditors	✓78 000		Manufacturing	
				Overheads	✓8 000
				Balance c/d	65 000
		128 000			128 000

(3)

2.2.2

MANUFACTURING OVERHEADS ACCOUNT

Date	Details	Amount	Date	Details	Amount
31/10	Material control	✓8 000			

(1)

2.2.3

PRODUCTION CONTROL ACCOUNT

Date	Details	Amount	Date	Details	Amount
31/10	Balance	✓100 000			
	Material control	✓55 000			

(2)

2.3 Job cost statement for XXL

Balance	✓25 000
Materials (15 000 + 10 000 + 5 000)	✓✓30 000
Direct labour	✓12 000
Overheads (30 000 * 120%)	✓✓36 000
Total production cost	✓103 000
Selling and administrative cost	✓ (25 000)
Total cost	✓78 000
Profit 75%	✓✓58 500
Selling price	✓136 500

(12)
[30]

QUESTION 3

3.1 **CONTRACT ACCOUNT FOR AX**

Materials issued	✓3 110 000		Material returned	✓220 000
Wages paid	✓3 900 000		Material transferred	✓1 620 000
Overheads	✓1 050 000		Machinery value: 31/06/17	✓320 000
Machinery value: 01/07/16	✓410 000		Contract price	✓7 200 000
Provision for latent defect (8 000 000 – 7 500 000)	✓500 000		Extras	✓800 000
Profit and loss	✓1 190 000			
	10 160 000			10 160 000

(11)

3.2 True (2)

3.3 Depreciation = 570 000 – 450 000
= 120 000 (2)

3.4 Certified work / Contract price

$$\frac{3\ 000\ 000}{(5\ 000\ 000 + 700\ 000)}$$

= 53%✓✓ (2)

3.5 Total estimated profit = (Contract price + Extras) – Total estimated cost
= (5 000 000 + 700 000) ✓ – 3 800 000✓
= 1 900 000✓ (3)

3.6 % completed × Estimated profit / 1 × Cash received / Certified work

52%✓ × $\frac{1\ 900\ 000}{1}$✓ × $\frac{800\ 000}{3\ 000\ 000}$✓

= 263 467✓✓✓✓ (8)

3.7 Adjusted profit = Calculated profit – Provision for latent defects
= 263 467 – (3 000 000 – 2 900 000)
= 263 467 – 100 000
= 163 467 ✓✓ (2)

[30]

QUESTION 4

4.1 4.1.1 Material price

(SP – AP) AQ
= (150✓ – 200✓) 2 000✓
= (50) 2 000
= 100 000✓ UN✓ (5)

4.1.2 Material quantity

(SQ – AQ) SP
= [(9 000 × 0,5) – 5 000] 150
= (4 500✓ – 5 000✓) 150
= (500)150
= 75 000✓ UN✓ (5)

4.1.3 Labour efficiency

(ST – AT)SR
= [(5,5 × 9 000) – 51 000] 65
= (49 500✓– 51 000✓) 65✓
= (1 500)65
= 97 500✓ UN✓ (5)

4.1.4 Labour rate

(SR –AR) AT
= [65 – (3672 000/51 000)] 51 000
= (65✓ – 72✓) 51 000✓
= (7)51 000
= 350 000✓ UN✓ (5)

4.1.5 Total labour

= Labour rate – Labour efficiency
= –350 000✓ – 97 500✓
= –447 500✓ UN✓ (4)

4.2 4.2.1 Budgeted overheads

= 5✓ × 20 000✓
= 100 000✓ (3)

4.2.2 Actual variable overheads

= 6✓ × 51 000✓
= 306 000✓ (3)

[30]

QUESTION 5

5.1 **DEBTORS COLLECTION SCHEDULE**

CREDIT SALES	APRIL	MAY
JAN R115 200		
FEB R144 000	✓21 600	
MARCH R72 000	✓43 200	✓10 800
APRIL R192 000	37 632✓ (38400 – 768)	✓115 200
MAY R240 000		47 040✓ (48 000 – 960)
TOTAL CREDIT SALES	✓102 432	✓173 040

(8)

CASH BUDGET

	APRIL	MAY
Opening bank balance	(7 000)	✓79 072
Cash sales	✓128 000	✓160 000
Credit sales	✓102 432	✓173 040
Interest received on fixed deposit	✓1 200	✓1 200
TOTAL RECEIPTS	✓224 632	✓413 312
Cash purchases	✓58 800	✓42 000
Credit purchases	✓65 000	✓208 000
Rent paid	✓20 000	✓20 000
Wages	✓1 760	✓1 848
New machine		✓45 000
TOTAL PAYMENTS	✓145 560	✓316 848
Closing bank balance	✓79 072	✓96 464

(22)
[30]

QUESTION 6

6.1 **INCOME STATEMENT (DIRECT METHOD)**

Sales (60 000 × 250)	✓15 000 000
Less: Variable costs	✓ (606 250)
• Direct material	✓150 000
• Direct labour	✓190 000
• Variable manufacturing overheads (300 000 × 40%)	✓120 000
• Variable non-manufacturing overheads (325 000 × 45%)	✓146 250
Marginal income	✓**14 393 750**
Less: Fixed costs	✓(358 750)
• Manufacturing overheads (300 000 × 60%)	✓180 000
• Non-manufacturing overheads (325 000 × 55)	✓178 750
Net profit	✓✓**14 035 000**

(12)

6.2 6.2.1 $BEQ = \frac{TFC}{MI/U}$

$= \frac{358\ 750✓}{(14\ 393\ 750 / 60\ 000)✓}$

= 1495 UNITS✓ (3)

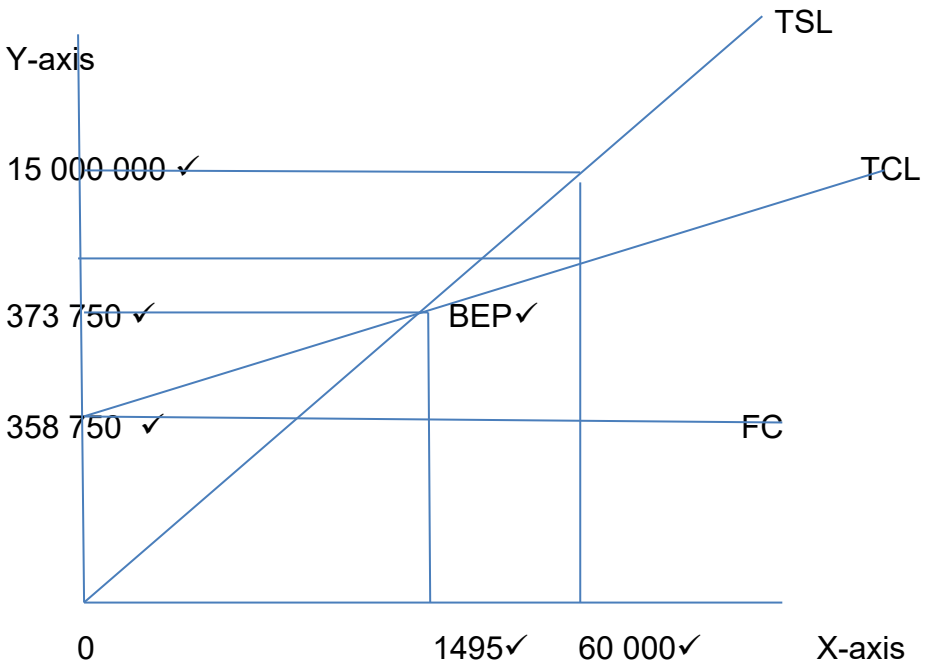
6.2.2 BEV = BEQ × SP/U

= 1495✓ × 250✓
= R373 750✓ (3)

6.2.3 Safety margin in rand = Total sales – Break-even value
= 15 000 000 – 373 750√
= R14 626 250√√ (3)

6.2.4 Safety margin in units = Number of units sold – Break-even quantity
= 60 000 – 1495✓
= 58 505 units✓✓ (3)

6.2.5



(6)
[30]

TOTAL SECTION B: 150
GRAND TOTAL: 200

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